

On 29 March, I sold. “Sell reason: Price broke out downward from a congestion region, so I think it will continue lower. This morning, the futures market has rallied, and they say the US markets will also open up strongly, in part as a snapback rally from yesterday's Fed [Federal Reserve] interest rate rise and overreaction in the Dow [industrials] (a selloff).

“The stock started to rally yesterday just after 3:00 p.m. EST, and my guess is the rise will continue into today's open. If that's true, then I have a 5 cent trailing stop ready to be executed. If not, then the stock should bottom in 30 minutes to 1 hour into the trading [session], and then I'll place the trailing stop, ride price up, and exit rich! Okay, maybe not, but for a small loss anyway. This stock didn't behave as I expected, so it's time to get out.”

I sold at 17.83 and took a 1% loss. The stock went down a bit, up a bit, and then continued lower where it dropped 14% in one session.

In Forest Oil Corp (FST) and Rohm and Haas (ROH), I also bought before confirmation and suffered the consequences when the triangle didn't confirm.

- Lesson: If I had waited for confirmation, I would have never entered this trade (SLE) because the triple bottom never confirmed.
- Lesson: If a trade doesn't work as expected, then get out.

Sample Trade

Russell is an engineer working in the telecommunications industry. He once said that the half-life of an engineer's knowledge is 10 years. “After twenty years, there's nothing left! That's when it's time to hide from management.” Before his time comes, he hopes to have a nest egg of funds accumulated from investing in stocks with which he is familiar.

He is a player, a position trader who might be in a stock for a week or two, while at other times he takes a longer view. Occasionally, his positions last for years; these are the most profitable.

He had a buy stop in place a penny at the top of the triple bottom shown in [Figure 67.4](#). I show the triple bottom as ABC. The top of the pattern is at D, and he bought into the stock at E, at 28.55.